

U.S. SMID-Cap Software

Datadog Inc

Rating

Market-Perform (Outperform *OLD*)

Price Target



226.00 USD (180.00 *OLD*)

6 July 2026

Rating Downgrade



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Datadog (DDOG): raising our model, but tactical downgrade

Datadog continues to impress us with their speed and completeness of their vision around both observability and the broader requirements for a VP of Product Operations. Their recent DASH conference made us incremental bullish about their [AI for Datadog / Datadog for AI](#) story and line of sight for areas such as cybersecurity — they could end up becoming another large revenue pillar. Overall we reiterate our optimism that Datadog is both an AI winner and has decreasing risk from disruption as new technology horizons emerge (e.g., “Born in AI headless”?). **We raise our model's ex-AI growth duration a few % points.**

We raise our Born-in-AI revenue expectations (particularly Q4+). Our model post Q1 implied the future “Born-in-AI” growth (outside their largest customer) after this year would slow to effectively ~40% YoY growth. But with the newest AI Lab customers (added in Q4 and Q1) this seems much too low. While there probably isn't a 1:1 relationship with the AI Lab revenue and Datadog (e.g., pricing increases drive AI labs, Datadog tends to discount more with scale), we anticipate at most price is ~½ the lab's growth. Based on the labs' expectation of 100%+ revenue CAGR over the next few years, we raise Datadog's participation. We will need to refine this over time as we learn more, but this feels like a more fair expectation.

DOWNGRADE on Q3+ earnings caution vs. more exuberant investor expectations: demand signals slowing in both enterprise and some AI Labs. Not only do we start lapping tough comps in Q4, but as we've discussed in several [other notes](#), we are seeing demand signals flat lining ex-AI (~85% of revenue) that causes ex-AI growth to peak in Q3, and potentially regress -100-200bps in Q4. We also re-highlight signals AI Labs are seeing growth plateau — our QoQ into Q3 “Born-in-AI” expectations are low relative to recent growth trends. All together, Q4 could see -500bps growth rate regression, falling to ~29% YoY. This would be a disappointment vs. recent investor conversations where some expect high 30% to 40%+ peak growth, and 30%+ growth into next year.

Investment Implications

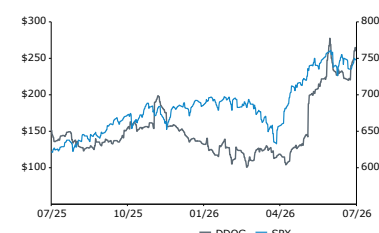
Raised modeled Datadog revenue growth a few hundred bps over the next decade. Applying our 50/50 multiples (higher ~16x NTM Revenue vs. 14x before), and DCF (11% WACC, 3% terminal growth) we raise our PT to \$226 and downgrade to Market-Perform.

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
DDOG (USD)	2.05	2.69	3.37	Cost of Goods Sold (M)	686.96	928.45	1,164	--	EV/EBIT (x)	N/M	623	246
<i>OLD</i>	--	2.66	3.24	FCF (M)	914.72	1,296	1,747	--	Adjusted P/E (x)	126.8	97.0	77.2
				Operating Earnings (M)	768.04	1,086	1,420	--	EV/FCF (x)	97.5	68.8	51.1
				Revenues (M)	3,427	4,543	5,654	28.4%	EV/Sales (x)	26.0	19.6	15.8

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	2 Jul 2026
DDOG Close Price (USD)	260.36
Price Target (USD)	226.00
Upside/(Downside)	(13)%
52-Week Range	278.71/98.01
SPX	7,483.24
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	92,686
EV (USD) (M)	89,213
Performance	YTD 1M 6M 12M
Absolute (%)	91.5 4.0 94.6 67.8
SPX (%)	9.3 1.3 7.8 19.2
Relative (%)	82.1 2.7 86.9 48.6
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



DETAILS

BORN-IN-AI MODEL EXPECTATIONS (~15% OF Q2 REVENUE)

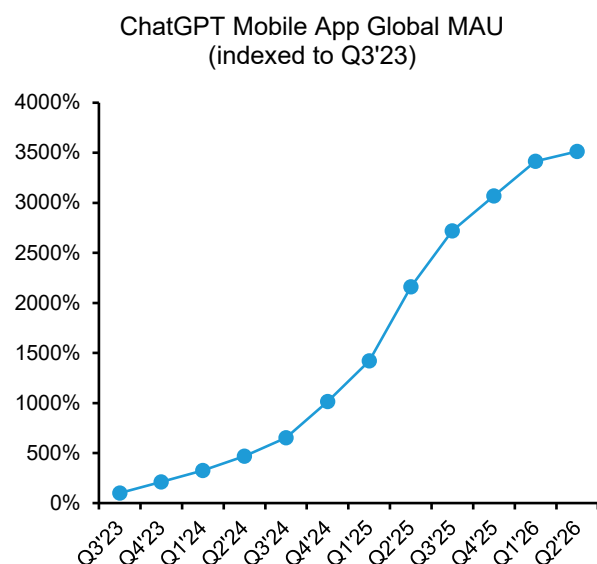
“Largest AI customer” (OpenAI?) rationalizes \$170MM ARR, but remaining base grows 65% this year (decelerating to 45% and 36% in +1 and +2 years). [we believe it is OpenAI, so use them in our model discussion here] [Previously](#) we have discussed our model where OpenAI would rationalize ~\$170MM ARR in Q3 off a contracted \$210MM+ ARR. Specifically we anticipate they will move “Business metrics” to Chronosphere and Logs to Clickhouse. But the rest of the platform, ~\$40MM ARR estimated, should still grow with the underlying scale of the company.

How fast should we grow that remaining \$40MM ARR? Relative to Q3 last year, when they implemented their prior contract, we thought it seemed likely that OpenAI would grow ARR at least 200%. Even after our previously noted signals of slowing growth ([Exhibit 1](#)) that still seems possible (or near it) given they'd already grown [~100% by February/March](#). With that said, we believe a material portion of their growth this year will be from increased pricing and ads [NOTE: OpenAI has [reportedly talked about massive price cuts](#) to compete even more heavily for token share — we will watch how this impacts the setup / demand / scale as the reality evolves]. The company discussed hitting \$2.5B in advertising revenue this year as [recently as April](#), and we'll assume this is attainable within the growth noted above. And from a pricing standpoint we have industry benchmarks from the [“Token Price Index”](#) that suggest real world prices are up ~85% since the contract went into place. To further validate this, we watched revenue per engagement on their web interface as a proxy, and noticed that also skyrocketed into Q1 (Exhibit 2) — we think this does miss revenue from Codex and their API, so is not a complete revenue picture. So, while we anticipated overall YoY growth to be high for OpenAI, the effective scale growth would be lower from a Datadog revenue standpoint.

Based on our pricing, ads and demand flattening estimates, we get a mid-point underlying demand growth to Datadog of 65% this year. We use that to scale up the remaining ~\$40MM ARR by Q4 of this year. There is some upside potential if demand recovers or more of OpenAI's ARR growth proven to be driven by usage instead of pricing (if they bring prices down, for instance). This is something we will need to watch and improve with our read-through signal.

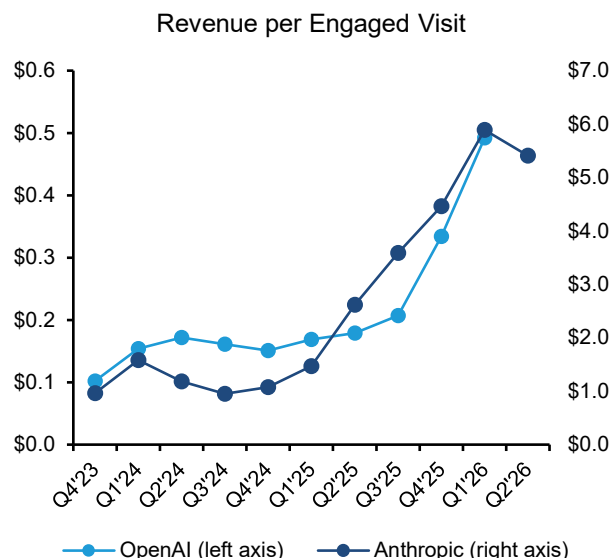
We will assume the incremental added this year will continue to get larger in future (~15% YoY), leading to 45% and 36% growth rates in +1 and +2 years. This includes some pricing pressure on Datadog itself, as the contract scale grows.

EXHIBIT 1: MAU for the ChatGPT mobile app has slowed down in its growth after a huge increase last Q2



Source: SensorTower, Bernstein analysis

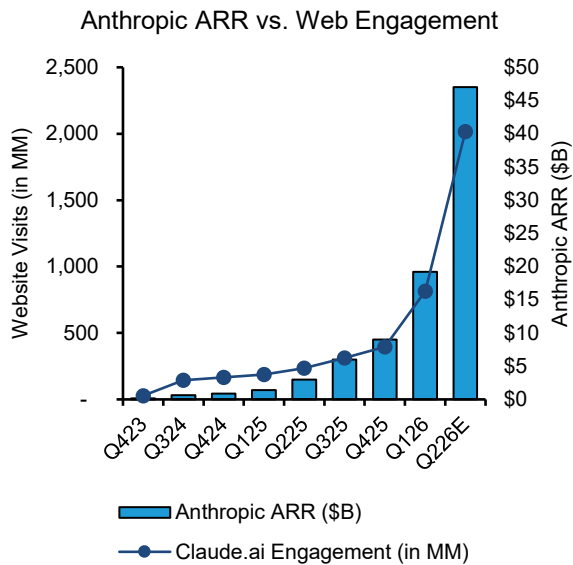
EXHIBIT 2: Anthropic's revenue per engaged visit to its website has stalled QoQ in Q2'26, indicating most of its revenue growth was driven by increased usage which would benefit Datadog



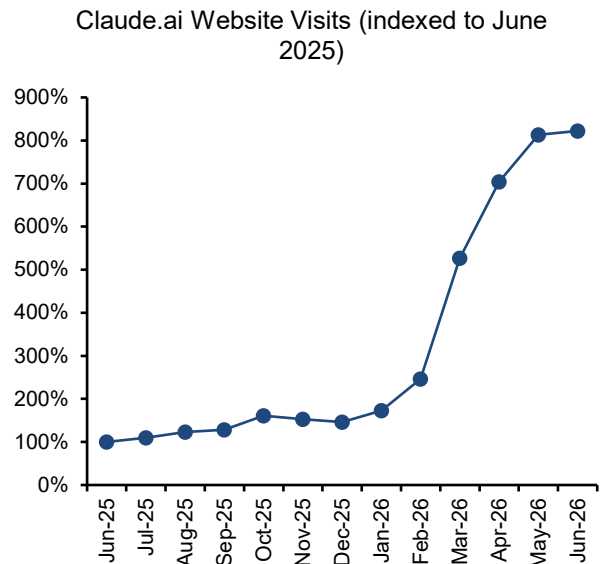
OpenAI and Anthropic's revenue figures estimated based on monthly ARR disclosures

Source: Similarweb, the Information, Bernstein estimates and analysis

“Large new AI lab landed Q4” massive 125-150%+ QoQ in Q2, but less in Q3/Q4, growth halves next year to 65%, and closer to 45-50% in +2 years. [we believe to be Anthropic, so use them in our model here] Anthropic's QoQ revenue growth into Q2 is expected to be 125%+, and based on their reported ARR it would be ~150% ([Exhibit 3](#)). Like OpenAI we would normally not want to read this through 1:1 as some is pricing, but we also have indications from their web metrics that seem to suggest pricing may be a less meaningful driver of revenue growth QoQ into Q2 ([Exhibit 2](#)). But looking to H2, right now there seems to be some stalling in growth ([Exhibit 4](#)), which is consistent with some prior periods of digestion after new model releases, so we are slowing their growth towards the rate they've commonly seen for a few quarters after hyper growth periods (10-15% QoQ). In future years we would anticipate the growth rate to come down, just like our OpenAI model does. We have them coming down by half in '27 and reaching 45-50% in '28.

EXHIBIT 3: Anthropic's revenue growth has mostly followed the trajectory of its website traffic growth


Source: Similarweb, the Information, Bernstein estimates and analysis

EXHIBIT 4: The engaged visits to claude.ai website surged in March/April but has slowed down in its month-over-month growth in June


Source: Similarweb, Bernstein estimates and analysis

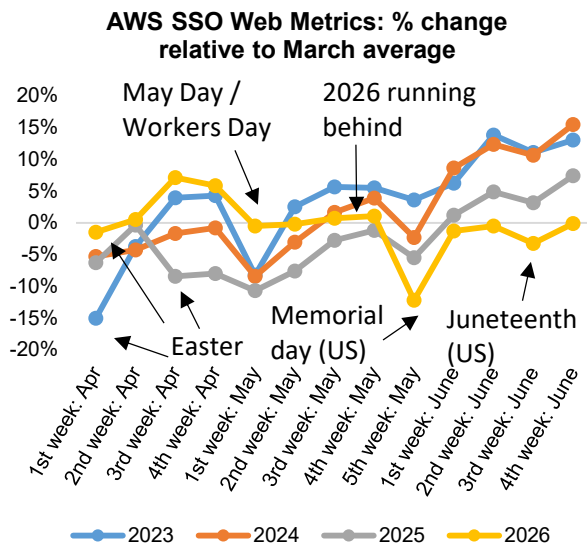
Rest of “Born in AI” grows net new QoQ by ~25% in ‘27 and ~20% in ‘28. In Q1 we estimate Datadog had roughly \$55-60MM in “Born-in-AI” revenue ex-OpenAI and ex-Anthropic. This upcoming Q2 we add \$7-12MM contribution from the couple new AI Labs (a “7-figure” and an “8-figure” ARR deal announced in Q1). On top of this we anticipate a large \$20-25MM incremental bump up, as the “rest” tends to follow the same tailwinds as OpenAI and Anthropic step-ups (possibly because this aligns to budget willingness, models finally making the companies that use them more viable, etc.). Looking further forward is hard to know for sure, but we do notice they’ve been adding on average a couple \$MM to net new scale each quarter, and we continue this trend through 2028.

EX-AI REVENUE MODEL (~85% OF Q2 REVENUE)

Q2 revenue growth was already signaled by the strong Q1 web metric results (they look +1 quarter, as we’ve discussed in our [deep dives on the methodology](#)). The bigger question is Q3 revenue signal based on Q2, and as we’ve discussed before ([here](#)) we have been watching our web metric signal growth flat line since early May (Exhibit 5) — this pattern seems to have continued into the 1st week of July (the latest data before publishing this note). This flatlining seems consistent with channel checks that suggest there are capacity constraints to new workloads (further supported by reports that new datacenter capacity has been relatively flat since H2 last year — Exhibit 6) as well as some pausing to address cybersecurity risks in existing deployed applications post Mythos/Glasswing warnings (i.e., fix backlog of maintenance/bug fixes). With that said, Q2 results (that signal +1 quarter) started strong enough that Q3 will likely be near steady or slightly increased growth rates (it is also helped by the fact -1 year was a relatively easy comp).

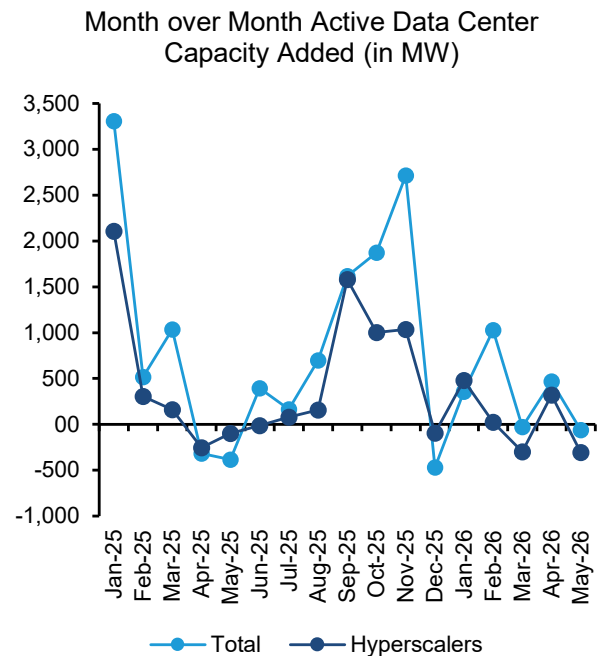
The bigger risk of deceleration is looking toward Q4 revenue. We still need to watch for Q3 web metric and channel check results to know the setup for sure, but the -1 year was very very strong in Q4, so anything less than that would create a headwind. For now, we are assuming a “normal” growth quarter, which would cause a step-down. We note that the week-to-week run rate we are seeing right now is below “normal”, so it would require the run rate to actually get better just to get to our model.

EXHIBIT 5: Web metric data suggests workloads moving to the cloud have stagnated since early May – channel checks back this up, pointing to near term hyperscaler capacity constraints, cyber hardening, and tokenmaxxing impacts



AWS SSO = awsapps.com
Source: Similarweb, Bernstein analysis

EXHIBIT 6: After a surge in new active data center capacity coming online in Q4 last year, the pace of active data center capacity being added has slowed down in 2026 – hyperscalers near net 0.



Source: Aterio, Bernstein analysis

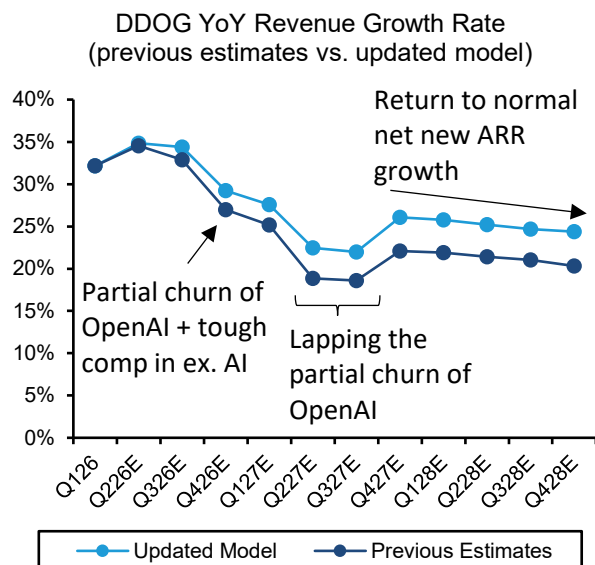
UPSIDE FROM HERE IS HARD TO IMAGINE IN THE FACE OF PEAKING AND THEN REGRESSING GROWTH IN H2 AND INTO 2030.

It is frustrating to us, given our bullish long term view on Datadog, when we hit a patch of expectations that exceed our own bullish expectations. In this note we are raising our own model throughout its duration by a few hundred bps (Exhibit 7), and even bringing up some of the Born-in-AI expectations, but are only reaching a price target near recent trading levels (Exhibit 8). This gives us pause and forced our hands on a downgrade to Market-Perform, as we could imagine this price level being rational over the coming year (with some up and downside risk to it that we discuss below).

Messy between here and +1 year? Even worse, in between here and a year from now there could be incremental friction/noise as we move through a near term “natural” air pocket in growth (Exhibit 9) — Product Led Growth cloud consumption companies rarely offer the smooth growth profiles of traditional application vendors, as the underlying demand environment swings them around. It is quite normal for there to be periods of hyper adoption and digestion, or slower periods from other impacts like capacity constraints and other near term priorities. The long term average will look good, but the market seems to historically over-react to these near term swings (Exhibit 10). We worry this time could be more of the same.

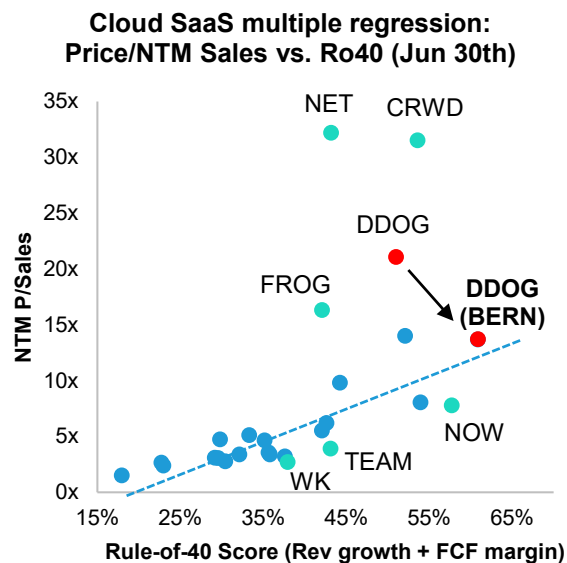
+1 year will likely lap the near term air pocket, and be back in a better setup relative to current valuation. Once this air pocket passes, and investors see the company re-accelerate we would anticipate our price target would be a roughly natural level to return to.

EXHIBIT 7: Our updated model raises Datadog's YoY revenue growth rates by 1-2% in the next 4 quarters and 3-4% longer term



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: The current P/Sales multiple for Datadog is significantly disconnected from the “core” regression of Growth SaaS companies, implicitly suggesting investors expect a much higher revenue growth expectation than our model

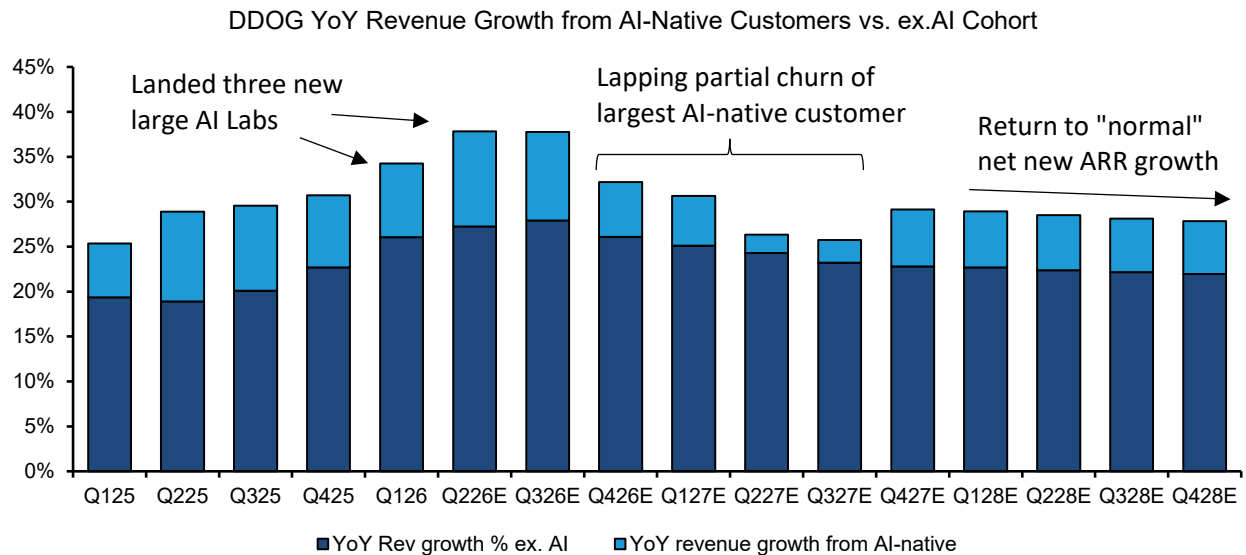


Outliers (high = DDOG, NET, CRWD, FROG; low = NOW, TEAM, WK) are excluded from the regression line

All datapoints based on Bloomberg consensus except for DDOG (BERN) which uses Bernstein's PT and model

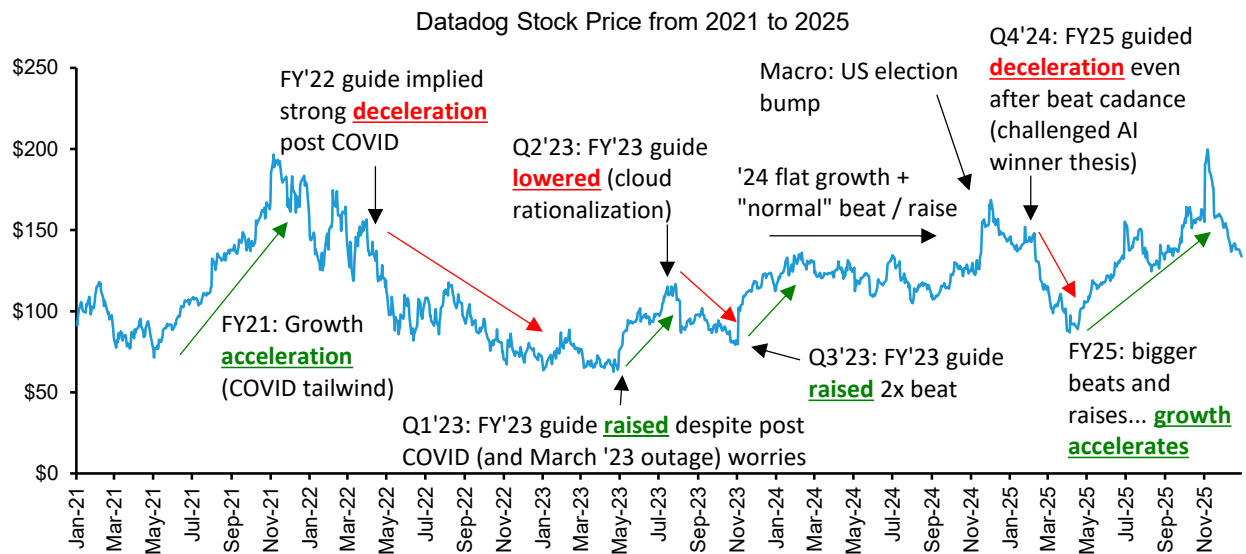
Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 9: Near-term acceleration in Datadog's revenue growth has been driven by both the expansion in the AI-native cohort and an increase of enterprise workloads running on Cloud. But the growth rate will likely decelerate and see a meaningful step-down in Q4'26 as ex. AI revenue laps a tough comp and the growth in AI-native cohort takes a hit from the partial churn of OpenAI. Once we lap the impact in Q4'27, we expect net new ARR growth to return to "normal low teens" level YoY for ex-AI while "Born-in-AI" exceeds this into the 20% range.



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 10: Revenue growth rate is one of the biggest factors impacting Datadog's stock price



Source: Bloomberg, Bernstein analysis

COULD WE BE TOO CONSERVATIVE? A FEW POINTS WE ARE WATCHING

More upside from new product pillars? Our revenue ratio work with AWS has seen Datadog getting incrementally less YoY growth than AWS since the ratio peaked during COVID (when Datadog was getting more growth relative to AWS - Exhibit 11). Given our ex-AI revenue model is informed by Datadog's relative participation in the cloud growth we model in AWS, this ratio is important for our forward Datadog model. We notice this ratio has started to stabilize, and our model anticipates it does fully reach 0% decline due to Datadog's broadening suite. But there have been periods where Datadog's product portfolio grew, and

resulted in Datadog's ratio steadily getting more and more excess growth versus its previous ratio to AWS. Maybe this could happen again, given the breadth of Datadog's recent releases (e.g., Bits AI, "infinite cardinality", CPU/GPU monitoring, etc.) that we called out before, and that might cause it's growth to outperform our AWS signal for more upside.

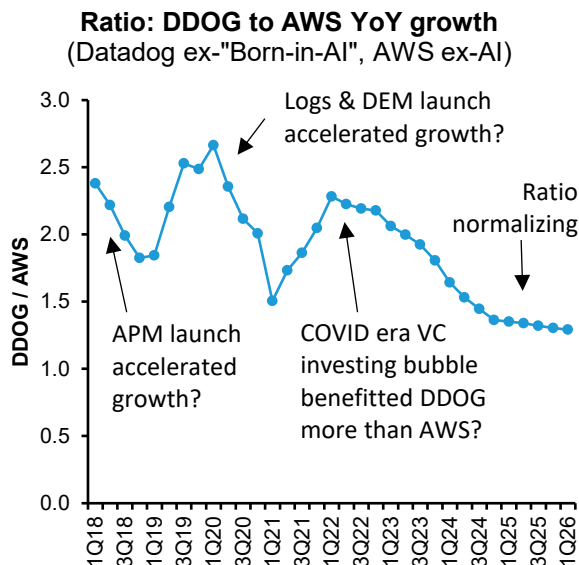
Web metrics alt data signal for ex-AI is broken? Our web metrics alt data signal may have broken. It is always a worry we have. Although, this seems unlikely given our channel checks seem to confirm their signal.

Growth in ex-AI customers pops back very near term? Importantly our current insights from our alt data and channel checks look into Q3 results, which for now is still "OK". What we don't know is how long the stagnate growth slowdown will continue — it could pop back next week, next month, or next quarter. Our model implicitly anticipates it will pop back by mid-August and have a burst of "catch up" energy through end of Q3. Thus, Q3 will likely end up "normal". If the bounce back happened sooner and more aggressive, then our Q4 model might be too low. If it happens later, then our Q4 model may actually be too high.

Growth in ex-AI customers back above "normal" Q4+? Right now our model anticipates in Q4+ that new cloud projects will not bounce back to the levels it was running late last year or early this year as a burst of AI-driven projects flowed into the cloud... rather we model it will be more "normal" (Exhibit 12). This may be incorrect, and instead what might happen is we see more of a ripple effect, where there are periods of hyper growth followed by periods of digestion or operational constraints to growth, but the overall trajectory might be higher than we anticipate. We know AI is able to push even greater volumes for at least short periods of time when we reflect on the Q3'25-Q2'26 period we just went through. It is possible this excess rate will come back, and our forward model will prove too conservative in those periods.

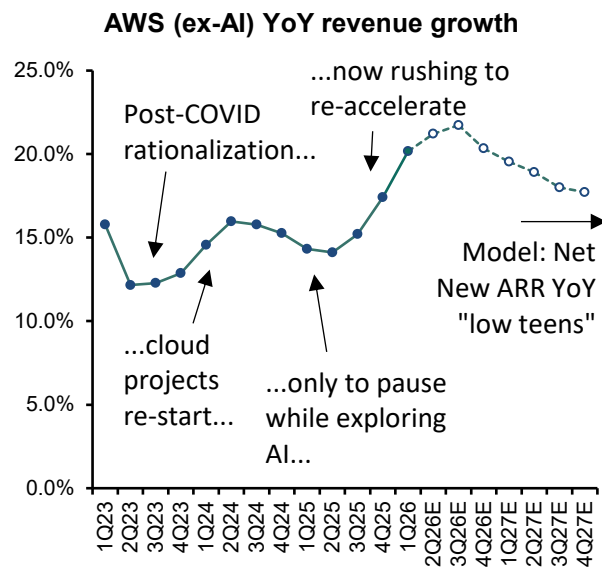
Growth in "Born-in-AI" pops back quicker, duration is higher for longer? Our model for "Born in AI" customer could be too low. For instance, if the [redployment of Claude Table 5](#) model drives an increase in usage like prior model-release-driven spikes for Anthropic (nuance here is this model was out previously, and initial reviews were [only "so so"](#), meaning it may not be as much of a step change as the marketing would have us believe). We also don't have a good view of really how much buyers will be able to bend the curve on ROI to justify spending more — if identifying projects and rolling out ROI-positive AI starts working with less friction, then the spend could be higher, longer.

EXHIBIT 11: **The ratio of Datadog's YoY ex. AI revenue growth to AWS peaked in Q1'22 and had been declining until Q4'24. But in the past 5 quarters, the ratio has been stabilizing.**



AWS and Datadog ex. AI revenue is based on Bernstein estimates
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **Implied AWS Core (ex-AI) Revenue QoQ and YoY growth - the data points to strength in Q3 and Q4**



Analysis done in collaboration with Peter Weed's SMID Software team
Source: Similarweb, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Datadog Financial Summary

Datadog \$, Thousands	2020 12/31/2020	2021 12/31/2021	2022 12/31/2022	2023 12/31/2023	2024 12/31/2024	2025 12/31/2025	Q1'26 3/31/2026	Q2'26 6/30/2026	Q3'26 9/30/2026	Q4'26 12/31/2026	2026 12/31/2026	2027 12/31/2027	2028 12/31/2028
Income Statement (Non-GAAP)	2020	2021	2022	2023	2024	2025	Q1'26	Q2'26E	Q3'26E	Q4'26E	2026E	2027E	2028E
Total Revenue	603,466	1,028,784	1,675,100	2,128,359	2,684,275	3,427,158	1,006,426	1,114,858	1,190,299	1,231,810	4,543,393	5,653,900	7,066,261
Cost of Revenue (Non-GAAP)	127,273	225,543	328,900	383,925	483,222	651,105	199,200	218,432	230,832	236,419	884,884	1,112,518	1,404,626
Gross Profit (Non-GAAP)	476,193	803,241	1,346,200	1,744,434	2,201,053	2,776,053	807,226	896,426	959,466	995,391	3,658,510	4,541,382	5,661,635
R&D (Non-GAAP)	172,511	309,684	504,847	627,902	758,288	1,038,742	300,351	349,366	356,274	356,024	1,382,016	1,666,107	2,011,772
S&M (Non-GAAP)	169,886	257,513	414,962	500,597	629,007	793,062	235,272	246,045	245,836	273,117	1,000,269	1,206,511	1,438,264
G&A (Non-GAAP)	50,195	70,986	100,111	125,692	139,565	176,184	48,106	61,059	54,514	56,415	210,095	248,952	287,630
Total Operating Expenses (Non-GAAP)	412,592	638,183	1,019,920	1,254,191	1,526,840	2,008,008	583,729	646,470	656,624	685,556	2,572,380	3,121,570	3,737,666
Operating Income (Non-GAAP)	63,601	166,058	326,280	490,243	674,213	768,044	223,497	249,956	302,842	309,835	1,086,130	1,419,812	1,923,969
Margin %	11%	16%	19%	23%	25%	22%	22%	22.4%	25.4%	25.2%	23.9%	25.1%	27.2%
Interest income and other, net	10,278	4,083	23,994	97,087	153,417	176,996	52,650	39,070	41,110	43,559	176,389	210,330	280,947
[Non-GAAP] Earnings before taxes	73,879	169,141	350,274	587,330	827,630	945,040	276,147	289,026	343,952	353,394	1,262,519	1,630,141	2,204,916
Provision for income taxes	(2,325)	(2,323)	(73,557)	(123,339)	(173,802)	(198,458)	(57,991)	(60,696)	(72,230)	(74,213)	(265,130)	(342,330)	(463,033)
Net income (loss)	71,554	166,818	276,717	463,991	653,828	746,582	218,156	228,331	271,722	279,181	997,389	1,287,811	1,741,882
Net income attributable to common shareholders	71,554	166,818	276,717	463,991	653,828	746,582	218,156	228,331	271,722	279,181	997,389	1,287,811	1,741,882
Earnings (loss) per share - Basic	\$0.24	\$0.54	\$0.88	\$1.43	\$1.94	\$2.15	\$0.62	\$0.64	\$0.75	\$0.77	\$2.78	\$3.48	\$4.58
Earnings (loss) per share - Diluted	\$0.22	\$0.48	\$0.80	\$1.32	\$1.82	\$2.05	\$0.60	\$0.62	\$0.73	\$0.74	\$2.69	\$3.37	\$4.47
Balance Sheet	2020	2021	2022	2023	2024	2025	Q1'26	Q2'26E	Q3'26E	Q4'26E	2026E	2027E	2028E
Cash and cash equivalents	224,927	270,973	338,985	330,339	1,246,983	401,305	426,360	472,192	504,032	545,121	545,121	708,339	924,191
Marketable securities	1,292,532	1,283,473	1,545,341	2,252,559	2,942,076	4,073,531	4,332,257	4,575,786	4,880,046	5,274,449	5,274,449	6,925,929	9,131,469
Receivables	163,359	268,824	399,551	509,279	598,919	741,262	680,434	812,983	737,153	908,108	908,108	1,085,313	1,279,836
Other current assets	37,262	47,678	60,357	85,960	123,137	166,182	186,155	174,825	195,734	213,015	213,015	259,796	300,278
Total current assets	1,718,080	1,870,948	2,344,234	3,178,137	4,911,115	5,382,280	5,625,206	6,035,786	6,316,964	6,940,693	6,940,693	8,979,376	11,635,773
Total PPE	47,197	75,152	125,346	171,872	226,970	338,093	378,944	411,592	445,867	480,333	480,333	626,969	804,480
Other assets	125,008	434,694	535,272	586,063	647,254	923,471	947,862	950,046	957,647	973,683	973,683	1,011,081	1,035,440
Total assets	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,397,424	7,720,478	8,394,709	8,394,709	10,617,426	13,475,693
Accounts payable	21,342	25,270	23,474	87,712	107,731	148,791	174,801	275,643	224,798	233,704	233,704	314,473	375,230
Other current liabilities	276,502	503,426	736,274	915,340	1,120,959	1,442,610	1,481,102	1,542,320	1,580,028	1,885,914	1,885,914	2,437,914	3,114,301
Total current liabilities	297,844	528,696	759,748	1,003,052	1,228,690	1,591,401	1,655,903	1,817,963	1,804,826	2,119,617	2,119,617	2,752,387	3,489,531
Deferred revenue, non-current	3,450	13,896	12,944	21,210	22,693	68,711	50,918	51,407	54,389	70,452	70,452	87,511	111,316
Other liabilities, non-current	631,559	796,999	821,655	886,456	1,185,570	1,251,526	1,256,969	1,274,129	1,291,281	1,309,124	1,309,124	1,381,771	1,459,265
Total non-current liabilities	635,009	810,895	834,599	907,666	1,208,263	1,320,237	1,307,887	1,325,536	1,345,670	1,379,575	1,379,575	1,469,282	1,570,580
Total liabilities	932,853	1,339,591	1,594,347	1,910,718	3,070,976	2,911,638	2,963,790	3,143,499	3,150,496	3,499,193	3,499,193	4,221,669	5,060,111
Total Equity	957,432	1,041,203	1,410,505	2,025,354	2,714,363	3,732,206	3,988,222	4,253,925	4,569,982	4,895,516	4,895,516	6,395,757	8,415,582
Total Liabilities and Equity	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,397,424	7,720,478	8,394,709	8,394,709	10,617,426	13,475,693
Balance Sheet Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow Statement	2020	2021	2022	2023	2024	2025	Q1'26	Q2'26E	Q3'26E	Q4'26E	2026E	2027E	2028E
Cash used for operating activities	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	323,541	372,170	471,649	1,501,981	1,995,230	2,677,260
Cash used for investing activities	(1,152,624)	(273,740)	(384,670)	(731,365)	(736,840)	(1,334,480)	(314,798)	(281,331)	(344,765)	(435,898)	(1,376,792)	(1,855,054)	(2,486,562)
Cash used for financing activities	670,276	34,940	36,023	58,279	787,083	(572,483)	9,711	3,622	4,435	5,339	23,107	23,042	25,154
Effect of exchange rate changes on cash and cash equivalents	779	(1,993)	(1,935)	1,183	(4,202)	11,159	(4,480)	-	-	-	(4,480)	-	-
Change in cash, cash equivalents, and restricted cash	(372,478)	45,752	67,825	(11,949)	916,644	(845,678)	25,055	45,832	31,840	41,089	143,816	163,218	215,851
Cash, cash equivalents and restricted cash at beginning of period	601,189	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	472,192	504,032	401,305	545,121	708,339
Cash, cash equivalents and restricted cash at end of period	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	472,192	504,032	545,121	545,121	708,339	924,191
Cash flow from operations	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	323,541	372,170	471,649	1,501,981	1,995,230	2,677,260
FCF	83,208	250,520	353,518	597,548	775,103	914,717	289,091	273,104	318,320	415,922	1,296,437	1,747,055	2,368,175

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	2 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
DDOG (Datadog)	M	USD	260.36	226.00	48.6%	USD	2.05	2.69	3.37	126.8	97.0	77.2
OLD	O			180.00				2.66	3.24			
SPX			7,483.24									

RATING CHANGE / PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Datadog Inc**

Our price target of \$226 is an average of DCF (with 11% WACC and 3% terminal growth) and P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple of 16x is based on a peer-SaaS regression in their relevant >10% OpM Cloud SaaS cohort from our "Rule-of-40" based valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS**Datadog Inc**

Downside risks beyond the macroeconomic risks include: increased competition from well-funded competitors in the industry; margin expansion slower than expected due to worse scale leverage in operating costs items; execution missteps or missed earnings expectations could lead to significant downside given the current valuation. Upside risks include: better product traction than expected, better than anticipated pace of new cloud workloads going into production, more major AI-customer wins, more upside in "Born-in-AI" customer growth.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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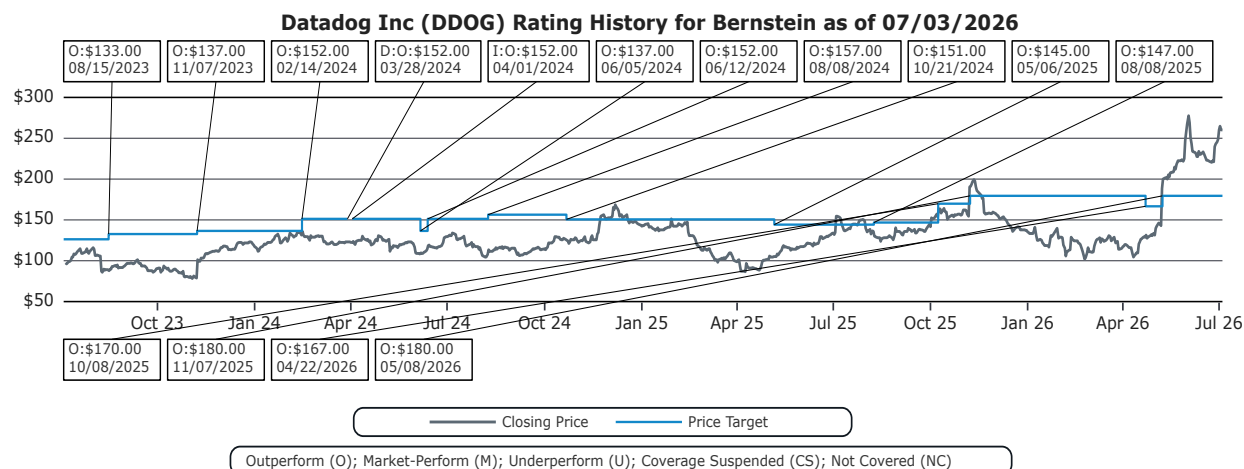
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Outperform	BUY	51.2%	15.3%
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Underperform	SELL	13.1%	13.6%

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As of June 30, 2026. All figures are updated quarterly.

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